THE DAILY · THURSDAY, 5 NOVEMBER 2026

Thursday, 5 November 2026

FACT reported by the sources OPINION a source's argument CLAUDE Claude's own reading SOURCE where it comes from

1 Trump admits the Iran war cost him the midterms, but says he would do it again

Why it matters: With a hostile Congress now able to squeeze war funding, the next move on Iran decides oil, inflation and Trump's last two years.

FACT President Trump conceded that the Iran war was the defining issue behind the Republican defeat, Semafor reports, yet insisted he would make the same choice again. His vice president JD Vance publicly wrote that the party lost because of the war, according to International Intrigue, which notes that petrol above $4 and diesel above $6 made the link easy for voters. The presumptive Democratic speaker said the new majority will aim to end the war, scrap tariffs and restore health spending, though Trump keeps his veto and near-total control of foreign policy. OPINION **An oil analyst quoted by Semafor:** the risk of escalation structurally grows after the midterms, so the oil selloff is somewhat baffling. OPINION **John Mearsheimer (Substack):** the election is over but the Iran war is not, and a cornered president has few good exits. CLAUDE Congress cannot order peace, but it can cut the Pentagon's money, and that is the lever to watch in the next budget fights. Tehran may also read the result as proof that its energy squeeze works, which argues for holding out rather than talking.

SOURCE Semafor Flagship: Midterms blamed on Iran war · Semafor Flagship: Democrats' ambitious agenda · International Intrigue: If you can't beat Dem · John Mearsheimer: The Election Is Over, but Iran Is Not

2 The oil market flips to a glut, and Brent is 20% below its war peak

Why it matters: Cheaper fuel eases the inflation shock that has driven rates and politics all year.

FACT Global oil supply exceeded demand by about 1.4 million barrels a day in October, JPMorgan estimates, as Middle Eastern exports returned to prewar levels and Latin American output rose by about 1.5 million barrels a day on the year, Semafor reports. Brent fell for four days to near $93 before bouncing to about $97 on Thursday evening (finanzen.ch), and crude is roughly 20% below this year's peak. HSBC expects Saudi output to jump in the fourth quarter. OPINION **A Bloomberg columnist (via Semafor):** Americans are days away from the cheapest petrol since March. CLAUDE A glut during a

war that is not over is fragile: one strike on Gulf infrastructure would flip it back. Thursday's rebound shows traders already doubt the calm.

SOURCE Semafor Flagship: Oil market in supply glut · Semafor Energy: Big Oil breaks a sweat · finanzen.ch: Ölpreis Brent

3 Bank of England raises rates for the first time since the Iran war and warns of 5% inflation

Why it matters: The first big central bank to tighten again shows the energy shock has not left Europe's prices.

FACT The Bank of England raised Bank Rate on Thursday, its first hike in three years, CNBC and Semafor report; the rate had stood at 3.75% since September (Bank of England), and reports put the new level at 4%. The bank warned that inflation will rise to near 5%, and FXStreet describes the vote as divided. UNCONFIRMED The exact new rate (4%) and the vote split rest on single secondary reports so far. CLAUDE Hiking into a falling oil price is a bet that the second-round effects in wages and services are already locked in. If Brent stays in the 90s, the next move could just as easily be a pause, so the vote split matters more than the hike.

SOURCE CNBC: Bank of England hikes interest rate for the first time since Iran war · Bank of England: Interest rates and Bank Rate · FXStreet: BoE recap, a divided hike

4 China posts record exports and demands the US and EU cut their tariffs

Why it matters: Beijing is pressing its advantage while Washington is distracted and Europe is building new trade defences.

FACT Beijing called on the US and the EU to reconsider levies on Chinese goods as its exports hit record highs, Semafor reports. It offered to buy more US farm goods only if tariffs are cut; soybean imports have restarted but remain far below pre-trade-war levels. China also criticised new EU measures on low-value parcels from retailers such as Shein and Temu, as the China International Import Expo opens in Shanghai. OPINION **International Intrigue:** Beijing has mixed feelings: happy to see ties stabilised and US red lines wobbling, uneasy about what a cornered Trump might do. CLAUDE Record exports are the problem, not the argument: the bigger China's surplus, the more Europe will copy US-style defences, whatever Washington does.

SOURCE Semafor Flagship: China hits out at levies · International Intrigue: If you can't beat Dem

5 France shuts down for a general strike over wages and public services

Why it matters: A test of whether France's debt-laden government can still reform anything.

FACT Unions, students and the yellow-vest movement held a nationwide general strike on Thursday over public services, wages and the cost of living, disrupting trains and schools, Semafor and Sortir à Paris report. Their demands include higher pay, taxes on the rich and better worker protection; Spain faces its own strike soon, and yellow-vest protests are planned again for 6 and 7 November. OPINION **Bruegel (via Semafor):** the pillars underpinning post-war European stability have eroded. CLAUDE France has slow growth, high debt and a street that blocks every cut, so the likely outcome is more borrowing. That keeps French spreads, and Brussels' patience, as the thing to watch.

SOURCE Semafor Flagship: France faces general strike · Sortir à Paris: Protest and strike on November 5, 2026

6 Paraguay's president faces impeachment over a collapsed digital bank

Why it matters: A bank run that froze ordinary savings and state money now reaches the presidency.

FACT Paraguay's opposition filed an impeachment motion against President Santiago Peña over his links to Ueno, a fast-growing digital bank that collapsed and froze customer deposits and some state funds, UPI reports via International Intrigue. Reuters had reported in October that the central bank was under pressure over doubts about the politically connected lender. Peña's party holds firm majorities in both chambers. UNCONFIRMED International Intrigue's figure that Ueno served half of Paraguay's adults is not confirmed elsewhere. CLAUDE With a majority behind him Peña will probably survive the vote; the lasting damage is to trust in a central bank seen as too close to a politically connected lender.

SOURCE UPI: Paraguay impeachment charges over Ueno bank collapse · Reuters (via The Star): Paraguay's central bank under pressure over politically connected lender · International Intrigue: If you can't beat Dem

Three reads

THE MAINSTREAM READ

Beijing blocks SoftBank's purchase of ABB's robotics arm

FACT China has blocked SoftBank's planned takeover of the robotics division of Zurich-based ABB, swissinfo and Semafor report; swissinfo values the deal at $5.4 billion, while Semafor cites $4.5 billion. The unit is focused on the Chinese market and runs a large factory in Shanghai's Pudong district. Separately, swissinfo reports that a Chinese state group is weighing a takeover of Swiss machine builder Kellenberger. CLAUDE For ABB this means plan B, probably a spin-off, and for Swiss industry a clear lesson: any company with big factories in China now sells only with Beijing's permission. That is a risk Swiss boards price too low.

SOURCE swissinfo: China blocks sale of ABB robotics division to SoftBank · Semafor Business: China blocks SoftBank robotics takeover

THE AI READ

US voters reject data centers almost everywhere they were on the ballot

FACT Data-center opponents won 38 of 39 fully counted local ballot measures in Tuesday's elections, The Rundown AI reports, and in NBC's exit poll 76% would oppose a data center in their own community. In Piqua, Ohio, voters banned large data centers and recalled the officials who backed Meta's project, and shares of suppliers Modine and Sterling Infrastructure fell about 21% on Wednesday, Semafor reports. OPINION **The Rundown AI:** the days of a hands-off federal approach to US AI labs are likely coming to an end. CLAUDE The backlash is about electricity bills more than about AI itself, so the fix is power, not public relations: projects that bring their own generation and pay for grid upgrades will get built. For every AI lab, compute now has a local political price.

SOURCE The Rundown AI: AI agents can now make your phone calls · Semafor Business: Data-center backlash gets expensive · NBC News: 2026 exit polls

THE AUSTRIAN READ

Democrats took Congress, and the debt is still there

FACT The crypto market-structure bill Clarity stalled in the Senate in September, and Trump appointees keep running the SEC and CFTC whatever the new Congress does. OPINION **The Daily Bitcoiner:** Bitcoin does not need the Clarity bill or a strategic reserve; no Congress will fix the debt, which is why savings belong partly in money no government can print. CLAUDE The fiscal point is strong, but divided government has historically slowed deficits, as in the late 1990s, and markets cheered the gridlock this week. The real risk for Bitcoiners is narrower: rules that treat self-custody wallets and miners as financial intermediaries.

SOURCE The Daily Bitcoiner: Democrats Took Congress. Bitcoin Doesn't Care.

In brief

NUMBER OF THE DAY

~10%

Drop in China's marriage registrations in the first three quarters of 2026 compared with 2025 (International Intrigue).

PODCAST OF THE DAY

McDonald's CEO Chris Kempczinski on the K-shaped consumer

Semafor The CEO Signal

Why low-income Americans are skipping breakfast, and what that means for a $5 burger in a $1 lobby.

STORY THREAD

Iran war

Trump conceded the war cost Republicans the midterms but said he would do it again; Democrats plan to use their majority to end it.

ALL SOURCES TODAY Semafor Flagship (5 Nov) · International Intrigue (5 Nov) · Semafor Business (5 Nov) · Semafor Energy (5 Nov) · The Rundown AI (5 Nov) · The Daily Bitcoiner (4 Nov) · swissinfo · CNBC

Markets

Thu 5 Nov, 18:40 · Bitcoin, gold, Brent, USD/CHF and SMI (15:48) from today; US indices, US 10-year and EUR/CHF kept from Wed 4 Nov close LATEST

MARKET	PRICE	TODAY	DAY	WEEK
S&P 500	7'702		+1.8%	+1.6%
Nasdaq	25'853		+1.9%	+1.6%
Dow Jones	53'295		+2.9%	+2.9%
SMI	15'011		−0.1%	+1.4%
Bitcoin	USD 76'134		−5.4%	−6.3%
Gold	USD 4'115		+1.3%	+5.5%
Brent	USD 97.17		+2.7%	−14.3%
US 10-year	4.90%		-4.8 bp	-2.5 bp
EUR/CHF	0.9170		−0.2%	−0.4%
USD/CHF	0.8174		+0.0%	−0.8%

Written by Claude from Mattia's newsletters, feeds and podcasts, checked against the open web.